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KSE-100 V

179,847

▼ 0.81% Tue ·
-1,464 pts

S&P 500 V

▼ 0.24%

Nasdaq -0.55% ·
Dow -0.16%

US 10Y / 2Y V

4.73 / 4.25

hawkish hold ·
Sept hike odds
~55%

BRENT / WTI V

\$87.72 / \$82.13

+5% Tue · Hormuz
impasse

GOLD V

\$4,400

+0.9% · silver
\$65.50

USD/PKR V

277.67

interbank · broadly
steady

01 Five Things You Need To Know To Start Your Day

PSX SELLOFF

The **KSE-100** shed 1,464 points (-0.81%) to close at 179,846.68 on Tuesday, retreating from an intraday high of 181,017 as automobile assemblers, cement, commercial banks, fertiliser, E&P and OMC counters came under broad selling pressure amid fading hopes of a US-Iran deal to reopen the Strait of Hormuz ([Business Recorder](#), [The Nation](#)). Sentiment: **risk-off**.

HORMUZ STANDOFF

Washington's new demands on Tehran — including compensation for conflict casualties — have clouded a near-term Strait of Hormuz reopening, keeping tanker traffic constrained and crude bid; Brent settled near **\$87.72** and WTI near **\$82.13**, both up roughly 5% on the session ([CNBC](#), [Al Jazeera](#)). Sentiment: **escalatory**.

FED HAWKISH TILT

The US 10-year yield pushed above **4.7%**, its firmest since January, as oil-driven inflation risk lifted the market-implied odds of a 25bp September hike to roughly **55%** — a sharp reversal from July's dovish-leaning hold ([Washington Post](#), [Chase](#)). Sentiment: **yields rising**.

SAFE-HAVEN BID

Gold pushed back above **\$4,400/oz** and silver rallied to a seven-week high near **\$65.50/oz** as investors sought cover from the Hormuz standoff and firmer rate-hike odds ([Kitco](#), [CNBC](#)). Sentiment: **firmer**.

IMF REVIEW PREP

Islamabad is readying for a fifth EFF review mission next month that could unlock roughly **\$1.2bn** (a \$1bn EFF tranche plus \$200m under the RSF), with energy-sector circular debt, the FY27 budget and privatisation progress under the microscope ([ProPakistani](#)). Sentiment: **constructive**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

The **KSE-100** retreated 0.81% (−1,464 pts) to 179,846.68 on Tuesday after touching an intraday high of 181,017, as broad selling in banks, cement, fertiliser, autos, E&P and OMCs offset last week's rally; market breadth stayed mixed with roughly even gainers and losers ([Business Recorder](#)). The **SBP** held its policy rate at 11.5% at its July 27 review for a second straight pause, even as July CPI cooled to 9.2% y/y from 11.1% (food inflation actually accelerated to 10.6%), keeping real rates restrictive ([Trading Economics](#)). Six-month KIBOR continues to track a touch above the policy rate (EST.). The interbank **USD/PKR** was broadly steady at 277.67, down marginally from 277.70 ([SBP](#)). On the **IMF** front, Islamabad is preparing for a fifth EFF/RSF review mission next month that could release roughly \$1.2bn, with energy circular-debt targets and privatisation progress the key sticking points ([ProPakistani](#)).

B. GCC & Middle East

Seven OPEC+ members — Saudi Arabia, Russia, Iraq, Kuwait, Kazakhstan, Algeria and Oman — lifted output by a further 188,000 bpd from August, the alliance's fifth straight monthly increase as it continues unwinding voluntary cuts even with Hormuz-linked price risk elevated ([Vision2030.ai](#)). Saudi Arabia's non-oil private sector stayed in solid expansion, with the Riyadh Bank PMI easing only slightly to 53.1 in July from 53.3 in June as output and new orders kept climbing; Kuwait's reading rebounded over the same stretch ([AGBI](#)). The **PIF**, chaired by Crown Prince Mohammed bin Salman, has approved its 2026–2030 strategy, pivoting from rapid asset growth toward value creation with tourism, travel and entertainment as priority sectors under **Vision 2030** ([Gulf Business](#)).

C. Global Intelligence

US equities closed lower Tuesday — the S&P 500 fell 0.24%, the Dow slipped 0.16% and the Nasdaq dropped 0.55% — as tech weakness and a stalled US-Iran Hormuz negotiation overshadowed industrial-sector gains ([Washington Post](#)). The **10-year Treasury yield** climbed above 4.7% — its highest since January — as oil-driven inflation risk pushed market-implied odds of a 25bp September Fed hike to roughly 55%, a marked hawkish reversal from July's 9-3 hold vote ([Chase](#)). **Brent** and **WTI** both surged roughly 5% to settle near \$87.72 and \$82.13 respectively, extending a fourth straight advance on fears that a naval blockade will keep the Strait of Hormuz constrained ([CNBC](#)). Gold and silver caught a safe-haven bid, with gold back above \$4,400/oz and silver at a seven-week high near \$65.50/oz ([Kitco](#)).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Fifth IMF EFF/RSF review mission due next month — energy circular debt, FY27 budget and privatisation progress under scrutiny for a ~\$1.2bn disbursement	Banks, IPPs/Energy, Equities, Sovereign FX	Wins: banks and FX reserves if the tranche clears, sovereign risk premium. Losses: energy consumers facing tariff/circular-debt adjustment conditionality, importers if reform slippage pressures the PKR.
GCC — Saudi Arabia / OPEC+	OPEC+ raises output 188,000 bpd for August; PIF approves 2026–2030 strategy prioritising tourism and entertainment	Energy, Sovereign wealth, Tourism/Entertainment, Oil-importer FX	Wins: oil-importing economies and consumers via incremental supply; Saudi non-oil diversification plays (tourism, leisure, entertainment). Losses: OPEC+ producers' per-barrel fiscal revenue as supply grows into a Hormuz-risk-inflated price.
Global — US Federal Reserve	Markets reprice toward a 25bp September hike (~55% odds) after July's split 9-3 hold, driven by oil-led inflation risk	USD, Rates, EM FX (incl. PKR), Equities	Wins: US dollar, fixed-income savers, money-market yields. Losses: rate-sensitive equities, EM currencies including the PKR, and leveraged borrowers facing a higher-for-longer curve.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

178,500

first floor; deeper support at 176,500 (desk estimate)

PIVOT EST.

179,847

Tuesday's close

RESISTANCE EST.

181,017

Tuesday's intraday high; then Monday's close of 181,310

We read Tuesday's pullback as a **geopolitical repricing, not a trend reversal** — the KSE-100 gave back barely 0.8% after a strong run, and the drivers (Hormuz impasse, a firmer Fed-hike narrative) are external rather than domestic-earnings-driven. A close back above 181,000 would reopen record territory; a break of 178,500 would point to a deeper retracement toward 176,500. Banks, fertiliser and cement — last week's leaders — are the counters to watch for signs of the dip being bought versus extended. All levels are indicative desk estimates, not recommendations.

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